

		Additionally, as the instant Motion is unopposed, Plaintiff has not rebutted the above evidence nor demonstrated “facts requisite to an effective service.” (<i>Dill v. Berquist Construction Co.</i> (1994) 24 Cal.App.4th 1426, 1439-1440.) Thus, the Motion to Quash is GRANTED.
54	RX Development Associates, INC. vs. Selective Diagnostics, INC. 21-01190952	Motion to Set Aside/Vacate Default and Judgment No Tentative Ruling. Parties to Appear.
55	Khairalla vs. Mercedes-Benz USA, LLC 25-01523475	Motion to Compel Arbitration Defendant Mercedes-Benz USA, LLC’s motion to compel arbitration and stay this case is GRANTED. <u>The Arbitration Agreement</u> Defendant MBUSA contends the arbitration agreement is located within the Lease Agreement. Defendant purports to attach the Lease Agreement as Ex. 1 to the Declaration of Remillard. (ROA 13.) However, as noted by Plaintiff, Ex. 1 is not the Lease Agreement, but other documents relating to the subject vehicle. Defendant concedes this attachment was inadvertent, points out that the relevant terms of the arbitration agreement were stated verbatim in the motion, and attaches the Lease Agreement to the Supplemental Declaration of Tingen. (ROA 42.) “The arbitration proponent must first recite verbatim, or provide a copy of, the alleged agreement. [Citation]. A movant can bear this initial burden ‘by attaching a copy of the arbitration agreement purportedly bearing the opposing party’s signatures.’ [Citation.] At this step, a movant need not ‘follow the normal procedures of document authentication’ and need only ‘allege the existence of an agreement and

		support the allegation as provided in rule [3.1330].” (<i>Iyere v. Wise Auto Group</i> (2023) 87 Cal.App.5th 747, 755.) Per California Rules of Court, Rule 3.1330, “[t]he provision must be stated verbatim or a copy must be physically or electronically attached to the petition and incorporated by reference.” The Court will consider the Lease Agreement that was inadvertently left out of the Declaration of Remillard as relevant portions of the arbitration agreement were repeated verbatim in the motion. The arbitration agreement can be found on Pgs. 4-5 of 10 in the Lease Agreement, attached as Ex. 1 to the Supplemental Declaration of Tingen. The Lease Agreement defines “you”, “your”, and “yours” refer to the Lessee and any Co-Lessee; “we”, “us”, and “our” refer to the Lessor and, after the lease is assigned, to Mercedes-Benz Vehicle Trust, or its successors and assigns; “Assignee” refers to Mercedes-Benz Vehicle Trust or its successors and assigns. (See, Lease Agreement, pg. 1.) The Lease Agreement provides in pertinent part: Any claim or dispute, whether in contract, tort or otherwise (including any dispute over the interpretation, scope, or validity of this lease, arbitration section or the arbitrability of any issue), between you and us or any of our employees, agents, successors, assigns, or the vehicle distributor, including Mercedes-Benz USA LLC (each a “Third Party Beneficiary”), which arises out of or relates to a credit application, this lease, or any resulting transaction or relationship arising out of this lease (including any such relationship with third parties who do not sign this contract) shall, at the election of either you, us, or a Third Party Beneficiary, be resolved by a neutral, binding arbitration and not by a court action. Any claim or dispute is to be arbitrated on an individual basis and not as a class action. The arbitration shall be administered by the American Arbitration Association, or by any other organization that you may choose, subject to our or a Third Party Beneficiary’s approval. You may get a copy of the rules of the American Arbitration Association by visiting its website at www.adr.org. ... This lease evidences a transaction involving interstate commerce. Any arbitration under this lease shall be governed by the Federal Arbitration Act (9 USC 1, et seq.). ... (See, Lease Agreement, pg. 4-5 of 10, “Important Arbitration Disclosures.”)
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The FAA Applies

Preliminarily, both the Federal Arbitration Act and the California Arbitration Act require the existence of a valid Arbitration Agreement, before arbitration can be compelled. (See 9 U.S.C. §2 and Code of Civ. Proc. §1281.2).

The right to arbitration depends upon contract, and thus, a motion to compel arbitration is akin to a suit in equity seeking specific performance of that contract. (See *Little v. Pullman* (2013) 219 Cal.App.4th 558, 565.) The parties may, among other things, agree that the arbitration agreement will be controlled by the Federal Arbitration Act (“FAA”), which includes both procedural and substantive provisions. (See *Rodriguez v. American Technologies, Inc.* (2006) 136 Cal.App.4th 1110, 1122.)

The FAA states that written arbitration agreements “shall be valid, irrevocable, and enforceable, save upon such grounds as exist at law or in equity for the revocation of any contract.” (9 U.S.C. § 2.) The United States Supreme Court has described this provision as reflecting both a “liberal federal policy favoring arbitration,” and the “fundamental principle that arbitration is a matter of contract.” (*AT&T Mobility LLC v. Concepcion* (2011) 563 U.S. 333, 339.)

On a motion to compel arbitration under the FAA, the court’s role is limited to deciding: “(1) whether there is an agreement to arbitrate between the parties; and (2) whether the agreement covers the dispute.” (*Brennan v. Opus Bank* (9th Cir. 2015) 796 F.3d 1125, 1130.) If these conditions are satisfied, the court is without discretion to deny the motion and must compel arbitration. (9 U.S.C. § 4; *Dean Witter Reynolds, Inc. v. Byrd* (1985) 470 U.S. 213, 218 [“By its terms, the [FAA] leaves no place for the exercise of discretion by a district court, but instead mandates that district courts shall direct the parties to proceed to arbitration.”].)

“[T]he party resisting arbitration bears the burden of proving that the claims at issue are unsuitable for arbitration.” (*Green Tree Fin. Corp., supra*, 531 U.S. at p. 91.)

The Federal Arbitration Act governs here as the arbitration agreement expressly provides that it “shall be governed by the Federal Arbitration Act (9 USC 1, et seq.).” (Supp. Decl. of Tingen, Ex. 1 at p. 4.) It is undisputed that the FAA applies here.

Existence of Agreement to Arbitrate

A party moving to compel arbitration bears an initial burden of producing “prima facie evidence of a written agreement to arbitrate the controversy.” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165–166.) The moving party “can meet its initial burden

	by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party's] signature.” (<i>Bannister v. Marinidence Opco, LLC</i> (2021) 64 Cal.App.5th 541; see also <i>Espejo v. Southern California Permanente Medical Group</i> (2016) 246 Cal.App.4th 1047, 1060 [holding same].) For this step, “it is not necessary to follow the normal procedures of document authentication.” (<i>Condee v. Longwood Management Corp.</i> (2001) 88 Cal.App.4th 215, 218.) If the moving party meets its initial prima facie burden and the opposing party does not dispute the existence of the arbitration agreement, then nothing more is required for the moving party to meet its burden of persuasion. Here, MBUSA meets its initial prima facie burden of establishing the existence of a written arbitration provision, in the Lease Agreement. The parties do not dispute that Plaintiff signed the Lease Agreement that contained the foregoing arbitration clause. Further, the arbitration agreement is broad enough to encompass these claims as it arises out of or relates to any resulting transaction or relationship arising out of the lease (including any such relationship with third parties who do not sign this contract). Plaintiff also argues that Defendant MBUSA has not shown Plaintiff refused to arbitrate, but, here, the fact that Plaintiff has already filed his lawsuit, “suffice[s] to show [his] refusal to arbitrate the controversy.” (<i>Hyundai Amco America, Inc. v. S3H, Inc.</i> (2014) 232 Cal.App.4th 572, 577–578.) <u>Mercedes’ Standing to Compel Arbitration</u> Although not a signatory to the agreement, MBUSA contends that it has standing to compel Plaintiff to arbitration because it is a third-party beneficiary to the agreement. Plaintiff, relying on <i>Ford Motor Warranty Cases</i> (2025) 17 Cal.5th 1122 contends that Defendant is not a third-party beneficiary to the contract and thus does not have standing to enforce the arbitration clause. Plaintiff also claims that even if Defendant does have standing, the warranty claims fall outside of the arbitration agreement. Plaintiff is also incorrect. “As a general rule, only a party to an arbitration agreement may enforce the agreement.” (<i>Felisilda v. FCA US LLC</i> (2020) 53 Cal.App.5th 486, 495). There are six theories by which a nonsignatory may compel or be bound to arbitrate. These theories are as follows: “ ‘(a) incorporation by reference; (b) assumption; (c) agency; (d) veil-piercing or alter ego; (e) estoppel; and (f) third-party beneficiary’ [citations].” (<i>Suh v. Superior</i>
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		<i>Court</i> (2010) 181 Cal.App.4th 1504, 1513 [collecting cases of each theory].) The California Supreme Court in <i>Ford Motor Warranty Cases</i> considered and ultimately concluded that equitable estoppel did not apply to bar the plaintiffs in that case from pursuing their remedies against Ford Motor Company in court. (<i>Ford Motor Warranty Cases</i> (2025) 17 Cal.5th 1122, 1126, 1133-1138.) But here, Defendant MBUSA invokes an entirely different theory for enforcement: third-party beneficiary. Third-party beneficiary doctrine provides that: “A contract, made expressly for the benefit of a third person, may be enforced by him at any time before the parties thereto rescinded.” (Civ. Code, § 1559.) A third party becomes a third-party beneficiary where an “intent to benefit [that] third person appears from the terms of the contract.” (See <i>Jensen v. U-Haul Co. of Calif.</i> (2017) 18 Cal.App.5th 295, 301-302 [internal quotes omitted].) “To show the contracting parties intended to benefit it, a third party must show that, under the express terms of the contract at issue and any other relevant circumstances under which the contract was made, (1) ‘the third party would in fact benefit from the contract’; (2) ‘a motivating purpose of the contracting parties was to provide a benefit to the third party’; and (3) permitting the third party to enforce the contract ‘is consistent with the objectives of the contract and the reasonable expectations of the contracting parties.’” (<i>Ford Motor Warranty Cases</i> (2023) 89 Cal.App.5th 1324, 1337, citing <i>Goonewardene v. ADP, LLC</i> (2019) 6 Cal.5th 817, 830.) Here, the arbitration agreement expressly identifies Defendant MBUSA as a third-party beneficiary. (Tingen Supp. Decl., Ex. 1.) By expressly designating MBUSA as a third-party beneficiary entitled to enforce the arbitration agreement, the Lease Agreement expressly benefits—and communicates an intent to benefit—Defendant MBUSA. The Court finds that MBUSA is permitted to enforce the arbitration provision, which is consistent with the objectives of the contract and the reasonable expectations of the parties. As such, the Court finds the Goonewardene elements are met. <u>Waiver</u> Plaintiff next argues that even if the arbitration agreement is enforceable by Defendant MBUSA, it waived that right by requesting a jury trial, outlining when it was expected to be ready for trial and did not mention this motion in the CMC Statement. Thus, it submitted to this Court’s jurisdiction and took actions inconsistent with a clear intent to arbitrate. “ . . . California courts have found a waiver of the right to demand arbitration in a variety of contexts, ranging from situations in which the party seeking to compel arbitration has previously taken steps inconsistent with an intent to invoke arbitration [citations] to instances in
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	which the petitioning party has unreasonably delayed in undertaking the procedure. [Citations.] The decisions likewise hold that the bad faith or willful misconduct of a party may constitute a waiver and thus justify a refusal to compel arbitration. [Citations.]” (<i>St. Agnes Med. v. PacifiCare of Calif.</i> (2003) 31 Cal.4th 1187, 1196 (“St. Agnes”) overruled on other grounds in <i>Quach v. California Commerce Club, Inc.</i> (2024) 16 Cal.5th 562.) Here, Defendant MBUSA did not waive its right to demand arbitration. This motion was the first paper that constituted an appearance in this action and no Answer has been filed. The CMC statement was filed while this motion was already pending and before it was heard. And, as pointed out by Defendant in reply, CMC statements are mandatory filings. <u>Unconscionability</u> Unconscionability is one ground on which a court may refuse to enforce a contract, including an arbitration agreement. (Civ. Code §1670.5.) Whether a provision is unconscionable is a question of law. (Civ. Code §1670.5(a); <i>Flores v. Transamerica</i> (2001) 93 Cal. App. 4th 846, 851.) “If the court as a matter of law finds the contract or any clause of the contract to have been unconscionable at the time it was made the court may refuse to enforce the contract, or it may enforce the remainder of the contract without the unconscionable clause, or it may so limit the application of any unconscionable clause as to avoid any unconscionable result.” (Civ. Code §1670.5(a); <i>Armendariz v. Foundation Health Psychcare Services, Inc.</i> (2000) 24 Cal. 4th 83, 122.) The absence of severability clause is irrelevant to the determination whether the offensive provisions are “severable” for purposes of unconscionability analysis. Severability is decided as a matter of state law. (<i>Terminix Int’l Co., LP v. Palmer Ranch Ltd. Partnership</i> (11th Cir. 2005) 532 F.3d 1327, 1331.) Unconscionability has a procedural and a substantive element: the procedural element focuses on the existence of oppression or surprise and the substantive element focuses on overly harsh or one-sided results. (<i>Armendariz v. Foundation Health Psychcare Services, Inc.</i> (2000) 24 Cal. 4th 83, 114.) To be unenforceable, a contract must be both procedurally and substantively unconscionable, but the elements need not be present in the same degree. The analysis employs a sliding scale: “...the more substantively oppressive the contract term, the less evidence of procedural unconscionability is required to come to the conclusion that the term is unenforceable, and vice versa.” (<i>Armendariz v. Foundation Health Psychcare Services, Inc.</i> (2000) 24 Cal. 4th 83, 114; <i>Mercuro v. Superior Court</i> (2002) 96 Cal. App. 4th 167, 174-75.)
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Procedural Unconscionability

Procedural unconscionability concerns the manner in which the contract was negotiated and the parties' circumstances at that time. It focuses on the factors of oppression or surprise. (*Kinney v. United HealthCare Services, Inc.* (1999) 70 Cal. App. 4th 1322, 1329.)

Procedural unconscionability is often found in contracts of adhesion – i.e. standardized contracts which, imposed and drafted by the party of superior bargaining strength, relegate to the subscribing party only the opportunity to adhere to the contract or to reject it. (*Armendariz v. Foundation Health Psychcare Services, Inc.* (2000) 24 Cal. 4th 83, 113.) “When the weaker party is presented the clause and told to take it or leave it without the opportunity for meaningful negotiation, oppress, and therefore procedural unconscionability, are present.” (*Szetela v. Discover Bank* (2002) 97 Cal. App. 4th 107, 114. See also *Lhotka v. Geographic Expeditions, Inc.* (2010) 181 Cal. App. 4th 816, 821-24 (finding take it or leave it contract for recreational activity procedurally unconscionable even though activity not a “necessity”).) A “meaningful opportunity to negotiate or reject the terms of a contract requires, at a minimum, that a party have reasonable notice of the opportunity to negotiate or reject the terms of the contract and an actual, meaningful, and reasonable choice to exercise that discretion. (*Circuit City Stores, Inc. v. Mantor* (9th Cir. 2003) 335 F. 3d 1101, 1106.)

Here, the agreement is a contract that was offered on a take-it-or-leave-it basis, which, in itself, “is sufficient to establish some degree of procedural unconscionability.” (*Sanchez v. Valencia Holding Co., LLC* (2015) 61 Cal.4th 899, 915, 190 Cal.Rptr.3d 812, emphasis added.)

Substantive Unconscionability

“Substantive unconscionability focuses on the actual terms of the agreement and evaluates whether they create ‘overly harsh’ or ‘one-sided’ results.” (*Serafin v. Balco Properties Ltd., LLC* (2015) 235 Cal.App.4th 154, 177.) “A contract term is not substantively unconscionable when it merely gives one side a greater benefit; rather, the term must be ‘so one-sided as to ‘shock the conscience.’” (*Pinnacle Museum Tower Association v. Pinnacle Market Development (US), LLC* (2012) 55 Cal.4th 223, 246.) In assessing substantive unconscionability, the “paramount consideration” is mutuality of the obligation to arbitrate. (*Nyulassy v. Lockheed Martin Corp.* (2004) 120 Cal.App.4th 1267, 1287.)

Plaintiff does not identify any provision in the arbitration agreement that he claims is harsh, oppressive, or so one-sided it shocks the conscience. Plaintiff only points to an apparent lack of mutuality given that Defendant made no promise under the Lease and it strips the consumer

		of a jury trial on statutory claims while giving Defendant a forum advantage at no reciprocal cost. Plaintiff presents no evidence to support the broad assertion of fact on which he predicates his conclusion that Defendant MBUSA receives an advantage without a reciprocal burden. Indeed, regardless of whose claim it is, Defendant gives up a jury trial along with Plaintiff. Further, where the jury waiver stems from the nature of arbitration itself, which is incompatible with a jury trial, unconscionability has been held not to exist. (See <i>Prima Donna Dev. Corp. v. Wells Fargo Bank</i> (2019) 42 Cal.App.5th 22, 43, 44.) In sum, Plaintiff shows some amount of procedural unconscionability but no substantive unconscionability. For these reasons, the court GRANTS Defendant MBUSA's motion to compel arbitration and hereby STAYS the action pending resolution of the parties' binding arbitration. The court VACATES the Case Management Conference scheduled for 09/18/2026. The court hereby SETS a Post Arbitration Status Conference for 04/09/2027 at 8:30 a.m. in Department C16. Plaintiff SHALL file and serve a status report no later than 10 court days before the Post Arbitration Status Conference Hearing. Moving Defendant to give notice.
56	Bacher vs. Prasad 22-01265088	Motion for Attorney Fees The Motion for Attorney Fees brought by Plaintiff Michael Scott Bacher dba Designer Properties is GRANTED, in part. Defendants Ramesh Prasad, Madhu Prasad, and Ajeshni Doreen Singh are jointly ordered to pay attorneys' fees to Plaintiff, pursuant to Civil Code section 1717, in the amount of \$51,195.00. It is undisputed the parties executed a "Buyer Representation Agreement – Exclusive," which includes an attorney fee provision to the prevailing party. (¶13 of Knierim Declaration and Exhibit 1 thereto, at §9 [ROA No. 463].) As judgment was entered against Defendants, with respect to Plaintiff's claim for breach of the above contract (ROA Nos. 224 and 455), Plaintiff is the prevailing party thereon.